Snehil Shah <snehilshah@gmail.com>

Fw: Details of the payment schedules and the terms

Vikram S. Puri, Principal Consultant <MD@natasha-india.com> Mon, Mar 9, 2015 at 2:48 PM
To: Snehil Shah <s_shah@natasha-india.com>

Fyi. Pls add to the ERP.

From: Vikram S. Puri, Principal Consultant
Sent: Monday, March 9, 2015 2:44 PM
To: Unmesh Bhathija ; Mohan Kumar
Cc: Aditya Mishra ; Neeraj Apte ; Ashish Nene ; Subramhanya Hathwar ; Shripad Shingne
Subject: Re: Details of the payment schedules and the terms

Dear Unmesh,

We went forward on the due diligence post your 'FINAL' (caps were yours) offer – lets not keep moving the goal post.

We should stick to the conclusion reached (I've reproduced it below), sign off on a term sheet in accordance with it and go forward. We are uncomfortable with the fluidity we seem to have just now.

If you do not wish to stick to your own offer and commitment, basis which we agreed to the due diligence, please let us know clearly. In such a case, we would like to pass and need take this no further.

If you would like to go forward on that understanding, lets do it without further delay. If not, lets wind this up. I've copied your final offer below for your reference.

Your call!

Regards,

Vikram

Dear Neeraj and Mohan - After our meeting in our office on Saturday, all of us have reached the final conclusions:

1. You and Mohan will be tied down for a period of one year from the start date of the acquisition/signing of the agreement
2. For 24 months there will be a non-compete agreement that you will have to sign (no poaching of customers and employees)
3. As discussed, Vertis will be valued at 1.2x of the top line that it achieves as on March 31, 2015 for FY14-15. The booked revenues will be taken into account
4. For any incremental business that comes in with the efforts of Neeraj and Mohan from the current/pipelined/proposed customers, commissions will be paid to Neeraj and Mohan (10%

commissions on the top line realised value)
5. Payment schedules:
1. On signing of the agreement - 25%
2. Milestones:
1. Milestone 1: 30% (August 1, 2015)
2. Milestone 2: 30% (December 1, 2015)
3. Milestone 3: 15% (March 31, 2016)
The above milestones will map to the revenue projections for FY15-16 that will be set mutually between us (We assume a growth of 30% for FY15-16 in the revenues over the top line achieved as on March 31, 2015). On achievement of these revenues every four months, the payments will be made to Neeraj and Mohan.

From: Unmesh Bhathija
Sent: Monday, March 9, 2015 12:50 PM
To: Mohan Kumar
Cc: Vikram Puri ; Aditya Mishra ; Neeraj Apte ; Ashish Nene ; Subramhanya Hathwar ; Shripad Shingne
Subject: Re: Details of the payment schedules and the terms

Mohan - We have to engage a lawyer to get the term sheet in place. It only makes sense to go ahead with the term sheet provided the numbers mentioned below are acceptable to you and Neeraj. The term sheet is not going to be a complex one. However if the milestones are not achieved then the payouts will be made on a pro rata basis as sent is a separate worksheet to you.

Note: On the revenue target if you are doing 14.5 crores this year and are committing to 15.5 crores next year the growth is 6.9% which is unacceptable. You'll have been growing at an average of 55% very year. Why did the growth get stunted by 48%?

Unmesh

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On 09-Mar-2015, at 12:36 pm, Mohan Kumar (Vertis) <mohan@vertisinfotech.com> wrote:

Thanks for your email Mr Unmesh..

We are surprised that you are going back on your commitment of 1.2x and increased the revenue target yet again..

Before we can decide whether to go ahead or not.. Can we review your term sheet? We would like to know the full picture before we decide.

Regards,
Mohan

Mohan Kumar
Founder & Partner

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From: Unmesh Bhathija <unmesh@websym.com>
Date: Monday, 9 March 2015 12:19 pm
To: Mohan Kumar <mohan@vertisinfotech.com>
Cc: Vikram Puri <MD@natasha-india.com>, "aditya.mishra@centrum.co.in" <aditya.mishra@centrum.co.in>, "neeraj@vertisinfotech.com" <neeraj@vertisinfotech.com>, "ashish@websym.com" <ashish@websym.com>, "subbu@websym.com" <subbu@websym.com>, Shripad Shingne <shripad@websym.com>
Subject: Re: Details of the payment schedules and the terms

Hi Mohan - After giving much thought here are the final numbers that were are willing to go ahead with:

1. Your revenues will be frozen at 14.5 crores closing Mach 31, 2015 (as per your email)
2. Valuation that we are willing to give is at 1.1x which is 15.95 crores
3. Now that the revenue has been pegged down to 14.5 cores, the revenues for FY15-16 will have to be 21.5 crores with 100% support from our team

These are the final numbers. We are willing to walk away from the deal if any of the above numbers have to be negotiated. Your top line for this year has fluctuated from 12 cores to 13.86 and now it is 14.5 crores. Subbu, Ashish and myself distinctly remember 12 crores when we first met at the Le Meridien.

15.5 crores was the target mentioned by you. You never committed to a percentage growth - Payment of 4 crores to be made in the first week of April was LOUD and clear from our side.

Looks like this email has not been drafted by you. Please take a look at Point No. 3

Regards,
Unmesh

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On 05-Mar-2015, at 6:45 pm, Mohan Kumar (Vertis) <mohan@vertisinfotech.com> wrote:

Dear Mr. Unmesh,

Please read the email chain below.. You may note the following.

1. Valuation started to be in between 1.2x to 1.5x of overall turnover for FY14-15. Then you locked it at 1.2x. **Now you are mentioning a figure of 1.1x to 1.2x for the first time**
2. You assumed Vertis turn over will be around 12cr. We did not mention this figure at any point of time. On numerous discussion, I have mentioned that the figure you have assumed is on lower side. Even on Saturday you mentioned turn over could be around 14cr. You also assured us that the 1.2x is not going to change. Your concern was revenue target for 15-16 on Saturday's discussions.
3. First we agreed on revenue target of 15.5cr then you changed it to 20cr couple of days back. Mohan and Neeraj are yet come back to you on this.
4. Payment milestone were discussed to be at 30%, 30%, 25% and 15%.

We are expected to close fy14-15 at a turn over of 14.5 Cr. Which will amount to total valuation of 17.4cr. As per your earlier commitment we can go ahead with 17.4cr valuation.

Please note deviations/confusions are a cause for concern. We would like to initiate this relationship on a positive note. I am sure you agree with me on this one.
As a first step, we need to agree on 17.4cr as the total valuation assuming we achieve 14.5 cr as the total turnover for FY14-15. If you agree then we can proceed to the next step which is payment milestones and term sheet.

Regards,
Mohan

Mohan Kumar
Founder & Partner

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From: Mohan Kumar <mohan@vertisinfotech.com>
Date: Wednesday, 7 January 2015 9:58 pm
To: Unmesh Bhathija <unmesh@websym.com>, Vikram Puri <MD@natasha-india.com>, "aditya.mishra@centrum.co.in" <aditya.mishra@centrum.co.in>
Cc: "neeraj@vertisinfotech.com" <neeraj@vertisinfotech.com>, "ashish@websym.com" <ashish@websym.com>, "subbu@websym.com" <subbu@websym.com>, Shripad Shingne <shripad@websym.com>
Subject: Re: Details of the payment schedules and the terms

Dear Mr. Unmesh,

Thanks for your email !

I have tried to summarise our understanding / proposal.

1. Valuation is locked @1.2x of turn over upto 31st March 2015.
2. FY 2015-16 Revenue Target for Vertis Team is fixed at 15.5 CR (Top line)
3. Vertis Team to operate at current premises until end of September 2015 to ensure hassle free transition and to minimise any impact of move.
4. All payments to Neeraj and Mohan will be routed through Vertis LLP.
5. Payment milestones we propose are
    1. 30% of total valuation to be paid at the time of signing the agreement
    2. 30% will be paid in first week of August 2015, this amount will be paid on prorate basis with revenue target of 5 CR
    3. 25% will be paid in first week of December 2015, this amount will be paid on prorate basis with revenue target of 5.5 CR
    4. 15% will be paid in last week of March 2015, this amount will be paid on prorate basis with revenue target of 5 CR.
6. For additional revenues generated by the sole efforts of Neeraj and/or Mohan above 15.5 cr will be rewarded by way of commissions on the top line achieved. The commissions will be capped @15% of top line.

    Looking forward to your response !!

Best Regards,
Mohan

Mohan Kumar
Founder & Partner

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From: Unmesh Bhathija <unmesh@websym.com>
Date: Tuesday, 6 January 2015 4:31 pm
To: Vikram Puri <MD@natasha-india.com>, "aditya.mishra@centrum.co.in" <aditya.mishra@centrum.co.in>
Cc: Mohan Kumar <mohan@vertisinfotech.com>, "neeraj@vertisinfotech.com" <neeraj@vertisinfotech.com>, Ashish Nene <ashish@websym.com>, Subramhanya Hathwar <subbu@websym.com>, Shripad Shingne <shripad@websym.com>
Subject: Details of the payment schedules and the terms

Hi Vikram/Aditya - I am trying to clear all the clouds here in this email. Hope it answers all the questions that you have:

Here is the map beginning April 1, 2015:

We will stick to the valuation of 1.2x of the revenues achieved till March
31, 2015 - Assume for the moment that Vertis will achieve a target of 12
crores till March 31, 2015 The valuation will be 14.4 cr. Neeraj and Mohan have also informed us that the revenues will grow in the next financial year at 30%

25% of 14.4 cr will be paid in signing the agreement = 3.6 crores
30% will be paid in the first week of August 2015 on achieving revenues of 5 crores. This will amount to 4.32 crores
30% will be paid in the first week of December 2015 after achieving a target of 5.5 crores - This amounts to 4.32 crores
Balance 15% will be paid in the last week of March 2016 on achieving a revenue target of 5 crores - This amounts to 2.16 crores

The total revenues that we are expecting for FY15-16 is 15.5 crores. These are revenues that have been anticipated by Vertis at a rate of 30% growth (sole efforts of Vertis team) - These revenues will be from the current customers/pipelined prospects as on March 31, 2015

- For additional revenues generated by the sole efforts of Neeraj and/or Mohan above 15.5 cr will be rewarded by way of commissions on the top line achieved. The commissions will be 15%

The revenues that are generated by our efforts will be excluded from the revenue target of 15.5 crores

Let me know your final decision on the above proposal

Unmesh

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